

United Arab Emirates - AML/CFT Obligations and Trade-Based Laundering Controls

Customer due diligence, free zone entities, hawala and high-value dealer duties

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This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (UAE Federal Decree-Law on AML/CFT and central bank guidance, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Registration and reporting

Financial institutions and designated non-financial businesses must register on the national reporting platform and submit suspicious transaction and suspicious activity reports. Registration is a precondition for licence renewal for high-value dealers.

2. Specific national controls

- Registered hawala providers must obtain a certificate and report transfers, including originator and beneficiary details, on a periodic basis.
- Dealers in precious metals and stones must apply due diligence for single or linked cash transactions at or above AED 55,000.
- Free zone companies are subject to the same obligations as mainland entities; the free zone authority is the registrar but not a substitute supervisor.
- Real estate brokers must report transactions settled in cash at or above AED 55,000, or in virtual assets, regardless of amount.

3. Trade-based laundering indicators

- Over- or under-invoicing: unit price deviating more than 30% from a reliable market reference for the same commodity and route.
- Multiple invoicing: the same bill of lading presented to more than one financing institution.
- Phantom shipment: payment settled with no corresponding customs declaration or vessel movement.
- Circular trade: goods repeatedly sold between related parties across free zones with escalating value.
- Commodity mismatch: a company licensed for electronics trading settling payments for gold or textiles.

4. Local red flags

- Newly licensed general trading company in a free zone receiving inbound wires from several unrelated jurisdictions within its first quarter.
- Cash deposits in mixed currencies followed by outbound trade payments to a single Asian corridor.
- Beneficial owner resident in a jurisdiction under enhanced monitoring, with power of attorney granted to an unrelated third party.